C. Attorney fees

Plaintiff seeks 35% of the total settlement amount as fees ($875,000), relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id*., at 505.) Following typical practice, however, the fee award was not considered at preliminary approval, but only as part of final approval. Counsel submits an estimate that 375.40 hours of attorney time were spent on the case, and applies a blended rate of $850 per hour, for a total lodestar fee of $319,090. This results in an imputed multiplier of 2.3. Even this assumes that the blended hourly rate of $850 is reasonable. For a blended rate, it appears to be somewhat high. Thus, some form of adjustment is appropriate. The Court notes that the percentage of the fund base here is 35%, rather than the more typical one-third. Under the circumstances of this case, one-third is a reasonable figure. Accordingly, the Court reduces the fee to one-third of the gross settlement fund, i.e. $833,333.33. The difference shall be part of the Net Settlement Fund.

Litigation costs of $17,132.99 are reasonable and are approved.

Settlement administration costs of $12,000 are reasonable and are approved.

Similarly, litigation costs and the requested representative payment of $12,000 for plaintiff will be reviewed under criteria discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. Ms. Gonzales attests that she has spent roughly 14 hours working on the case, which is less than typical in this type of case. The overall size of the recovery is relatively large. Ms. Gonzales gave a general release broader than that of the class, although she does not indicate that she gave up any claims of actual value. Considering all of these factors, the Court reduces the representative payment to $10,000. The difference shall be part of the Net Settlement Fund.

D. Conclusion

Based on the entire record, with the changes to the attorney fee and the representative payment, the Court finds that the settlement is fair, reasonable, and adequate. The **motion for final approval is granted**.

Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court including amendment of the judgment to reflect the funds paid to the cy pres recipient pursuant to Code of Civil Procedure section 384.

16. 9:00 AM CASE NUMBER: MSC21-01549
CASE NAME: HALATOA VS DIABLO COUNTRY CLUB
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL AND PAGA SETTLEMENT**

FILED BY:
TENTATIVE RULING:*

Plaintiff Harmesh Bangar moves for preliminary approval of their class action and PAGA settlement with defendant Diablo Country Club.

The matter initially was heard on November 6, 2025 and continued to November 20, 2025 for submission of a declaration meeting the requirements of Code of Civil Procedure section 382.4. The declaration has been submitted, and the Court now rules as follows.

A. **Background and Settlement Terms**

The original complaint was filed by Plaintiff Sunia Halatoa on July 26, 2021, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. Halatoa filed a separate complaint under PAGA on September 20, 2021. That is the operative complaint. Sunia Halatoa passed away while the litigation was pending, and Harmesh Bangar was substituted in as a plaintiff.

The settlement would create a gross settlement fund of $840,000. The class representative payment to plaintiff would be $7,500. Attorney's fees would be $280,000 (one-third of the settlement). Litigation costs would not exceed $20,000. The settlement administrator's costs are estimated not to exceed $10,500. PAGA penalties would be $125,000, resulting in a payment of $93,750 to the LWDA and $31,250 to the aggrieved employees. The net amount paid directly to the class members would be about $397,000. The fund is non-reversionary. Based on the estimated class size of 753, the average net payment for each class member is approximately $527.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendant during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and would be paid to California Rural Legal Assistance, Inc. (Settlement, Par. 5.4.) The settlement recites that "[t]he parties and their counsel do not have any interests or involvement within the governance or work of the Proposed Cy Pres Recipient." Under Code of Civil Procedure section 382.4, counsel must "in connection with the hearing for preliminary approval pursuant to subdivision (c) of Rule 3.769 of the California Rules of Court, notify the court if the attorney has a connection to or a relationship with a nonparty recipient of the distribution that could reasonably create the appearance or impropriety[.]" As directed at the previous hearing, counsel has now provided a declaration attesting to the required facts is necessary.

In addition, the cy pres recipient must be qualified under Code of Civil Procedure section 384(b), which requires that cy pres funds be provided "to nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent[.]" California Rural Legal Assistance meets the requirements of a recipient of cy pres funds.

The settlement contains release language covering all "causes of action and factual or legal theories that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint[.]" (Settlement, Par. 1.36.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp*. (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal and formal written discovery was undertaken. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory."])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. **Legal Standards**

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co*. (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction … to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra,* 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. **Attorney fees**

Plaintiff seeks one-third of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval.

The reasonableness of litigation costs and the settlement administrator's fees will be considered at final approval.

Similarly, the requested representative payment of $7,500 for each plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. **Conclusion**

As supplemented, the Court finds that that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval. **The motion is granted**.

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

17. 9:00 AM CASE NUMBER: MSC21-01751
CASE NAME: JOSE BELTRAN VS. MONUMENT CONSTRUCTION INC
HEARING IN RE: COMPLIANCE HEARING SET BY THE COURTROOM
FILED BY:
****TENTATIVE RULING:****

Based on the declaration of the Settlement Administrator, the settlement has been largely implemented, but the uncashed distributed paychecks will not be voided until May 7, 2026**. A further compliance hearing is set for May 21, 2026, 9:00 a.m. Plaintiff is to provide a declaration one week before the hearing updating the implementation.** The 5% of the attorney's fees currently held by the settlement administrator shall continue to be withheld pending further court order at the compliance hearing.

18. 9:00 AM CASE NUMBER: MSC22-00286
CASE NAME: EQUITY FIRST PROPERTY VS FIVE HILLS
HEARING ON DEMURRER TO: FIRST AMENDED CROSS COMPLAINT FILED BY: EQUITY FIRST PROPERTY MANAGEMENT A CALIFORNIA CORPORATION
FILED BY:
****TENTATIVE RULING:****

Before the Court is a demurrer by plaintiffs and cross-defendants Equity First Property Management dba Equity First Real Property and Management and Shops at Fairview to the first amended cross-complaint. For the reasons set forth, the general demurrers to the first and second causes of action are **sustained, with leave to amend**. Cross-complainant shall file any amended cross-complaint **by December 5, 2025**.

Background

This action arises out of business disputes over defendant and cross-complainant Five Hills, L.P.'s ownership of a commercial property located in a shopping center known as The Shops at Fairview which is managed by Equity First Property Management. Equity First and Shops at Fairview sued Five Hills for amounts they claim are owed for repair and maintenance costs included in the Five Hills share of the common area expenses. Five Hills filed a first amended cross-complaint ("FACC") against Equity First and Shops at Fairview, alleging four causes of action against Equity First and Shops at Fairview for fraud, abuse of process, accounting, and declaratory relief.

Standards Governing Ruling on Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the FACC, but not " 'contentions, deductions or conclusions of fact or law.' " (*Blank v. Kirwan* (1985) 39